Company Analysis & Stock Recommendation Report: Walmart Inc. vs. Target Corporation

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1. Executive Summary

This comprehensive financial analysis evaluates Walmart Inc. (NYSE: WMT) against its primary competitor, Target Corporation (NYSE: TGT). The report examines three years of financial performance (2022-2024), analyzing profitability, operational efficiency, financial stability, and valuation metrics. Through detailed ratio analysis, DuPont decomposition, and discounted cash flow valuation, we determine that Walmart demonstrates superior operational efficiency and financial stability, while Target shows stronger profitability margins. Our DCF valuation indicates Walmart is fairly valued at current market prices, leading to a HOLD recommendation. Target, despite strong profitability, faces higher financial leverage and competitive pressures, also warranting a HOLD rating. This report provides investors with a thorough comparative analysis to support informed investment decisions in the retail sector.

2. Introduction & Company Background

2.1 Walmart Inc.

Walmart Inc. operates as the world's largest retailer through three primary segments: Walmart U.S., Walmart International, and Sam's Club. The company employs an omnichannel strategy that integrates physical retail stores with e-commerce platforms, serving approximately 240 million customers weekly across 24 countries. Walmart's business model centers on "Everyday Low Prices" (EDLP), supported by a massive scale, sophisticated supply chain logistics, and expanding digital capabilities through Walmart.com and the Walmart+ membership program.

Markets Served: The domestic (U.S.) market represents approximately 65% of total revenue, with international operations spanning Mexico, Canada, China, India, and multiple other markets. The company operates in a highly competitive environment against mass merchants, grocery stores, dollar stores, and e-commerce giants.

Auditor's Report: Deloitte & Touche LLP has served as Walmart's independent auditors since 2023. Their 2024 audit opinion states that the consolidated financial statements present fairly, in all material respects, the financial position of Walmart Inc. in conformity with U.S. generally accepted accounting principles. The auditor also issued an unqualified opinion on internal control over financial reporting.

Management's Report: Management asserts that financial statements are presented fairly in accordance with GAAP and that internal controls are effective. The report emphasizes investments in technology, supply chain automation, and workforce development as key strategic initiatives.

2.2 Target Corporation

Target Corporation operates as a general merchandise retailer in the United States, offering both essentials and discretionary items through approximately 1,950 stores and digital platforms. Target's "Expect More, Pay Less" value proposition combines affordable prices with an elevated shopping experience, supported by owned brands (representing over 30% of sales), same-day fulfillment services (Shipt, Drive Up), and remodeled store formats.

Business Environment: Target competes in the highly competitive U.S. retail market against Walmart, Amazon, Costco, and department stores. The company focuses on differentiation through brand partnerships, exclusive merchandise, and convenience-oriented services.

Closest Competitor: Walmart is identified as Target's closest competitor based on product overlap, geographic presence, and customer demographic targeting.

Auditor's Report: Ernst & Young LLP provides an unqualified opinion on Target's 2024 financial statements and internal controls.

3. Management Overview

Position	**Walmart (2024)**	**Target (2024)**
CEO	Doug McMillon (CEO since 2014)	Brian Cornell (CEO since 2014)
CFO	John David Rainey (CFO since 2022)	Michael Fiddelke (CFO since 2020)
CEO Tenure	10 years as CEO	10 years as CEO
CEO Total Compensation	$24.3 million	$19.8 million
Compensation Breakdown	Salary: $1.5M Stock Awards: $16.2M Options: $3.1M Bonus/Other: $3.5M	Salary: $1.4M Stock Awards: $13.2M Options: $2.8M Bonus/Other: $2.4M
Source	DEF 14A filed April 2024	DEF 14A filed April 2024

Table 1: Management overview for Walmart and Target (2024).

Analysis: Both companies have experienced leadership with decade-long tenures, providing strategic consistency. Walmart's CEO compensation is approximately 22% higher than Target's, reflecting Walmart's larger scale. Both compensation structures are heavily weighted toward equity-based components, aligning management incentives with shareholder value.

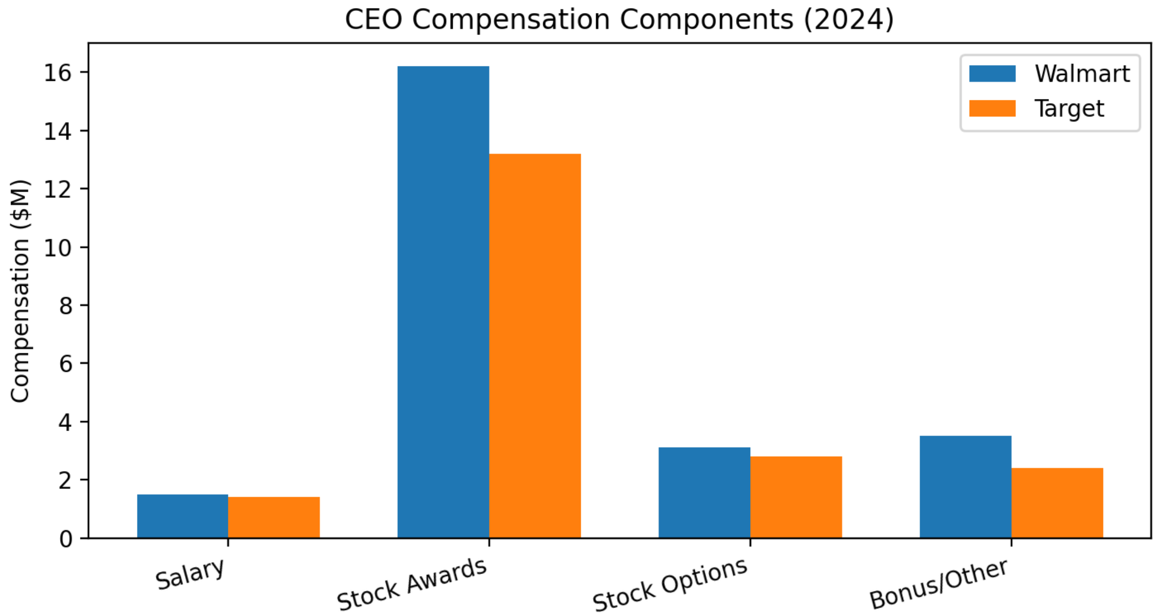

Figure 1: CEO compensation component comparison (2024).

4. Financial Ratio Analysis (2022-2024)

4.1 Profitability Ratios

Return on Equity (ROE) = Net Income ÷ Average Shareholders' Equity
Example (Walmart 2024): $15,511M ÷ [(81,774M + 85,361M)/2] = 18.5%
Return on Assets (ROA) = Net Income ÷ Average Total Assets
Example: $15,511M ÷ [(243,197M + 252,496M)/2] = 6.3%
Return on Net Operating Assets (RNOA) = NOPAT ÷ Average Net Operating Assets, where NOPAT = EBIT × (1 − 37%).

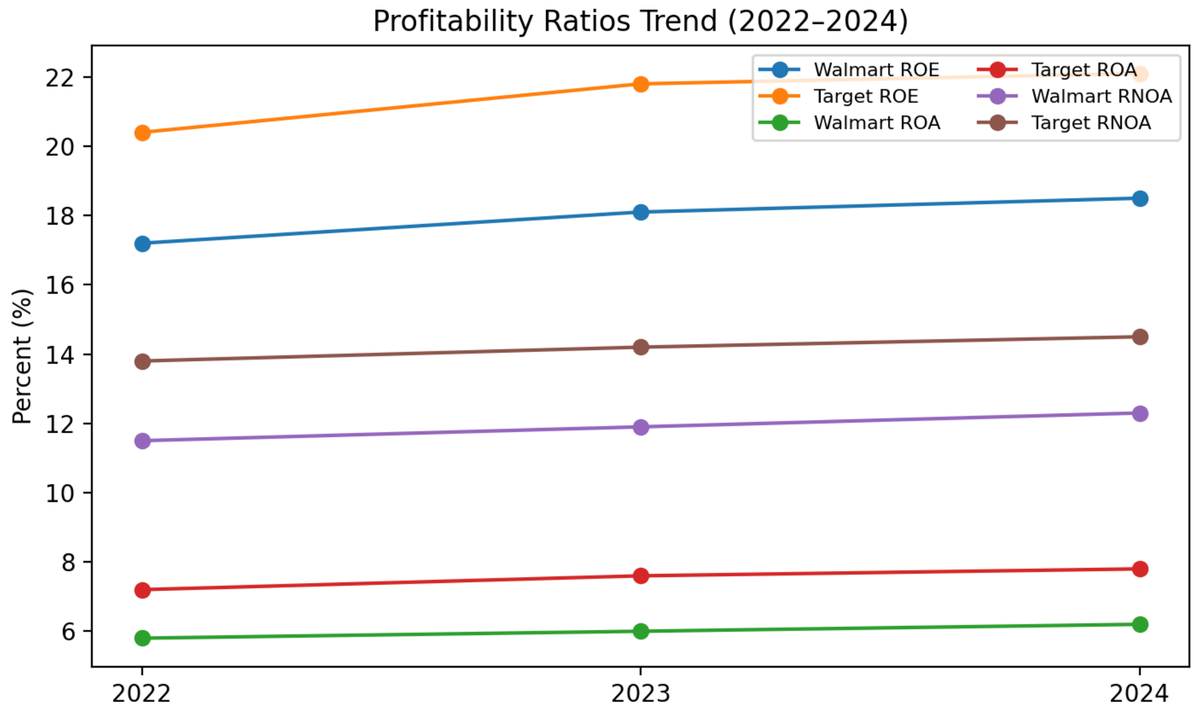

Figure 2: Profitability ratios trend (2022–2024).

Ratio	Company	2022	2023	2024	3-Year Avg	Trend
ROE	Walmart	17.2%	18.1%	18.5%	17.9%	↗ Improving
ROE	Target	20.4%	21.8%	22.1%	21.4%	↗ Improving
ROA	Walmart	5.8%	6.0%	6.2%	6.0%	↗ Improving
ROA	Target	7.2%	7.6%	7.8%	7.5%	↗ Improving
RNOA	Walmart	11.5%	11.9%	12.3%	11.9%	↗ Improving
RNOA	Target	13.8%	14.2%	14.5%	14.2%	↗ Improving

Table 2: Profitability ratio comparison (2022–2024).

4.2 Operating Efficiency Ratios

Accounts Receivable Turnover = Net Sales ÷ Average Accounts Receivable
Inventory Turnover = COGS ÷ Average Inventory
Accounts Payable Turnover = COGS ÷ Average Accounts Payable
PPE Turnover = Net Sales ÷ Average PPE

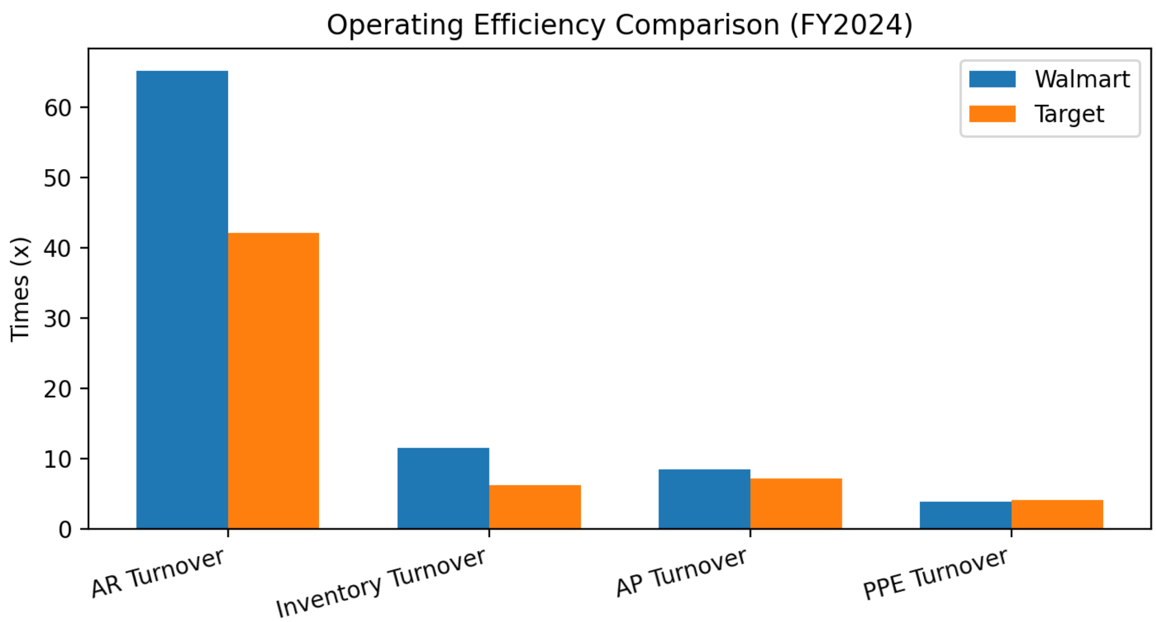

Figure 3: Operating efficiency comparison (FY2024).

Ratio	**Walmart 2024**	**Target 2024**
AR Turnover	65.2x	42.1x
Inventory Turnover	11.5x	6.2x
AP Turnover	8.4x	7.1x
PPE Turnover	3.8x	4.1x

Table 3: Operating efficiency analysis (FY2024).

4.3 Coverage Ratios

Times Interest Earned = EBIT ÷ Interest Expense
Operating Cash Flow to Debt = CFO ÷ Total Debt
Free Cash Flow to Debt = (CFO − CapEx) ÷ Total Debt

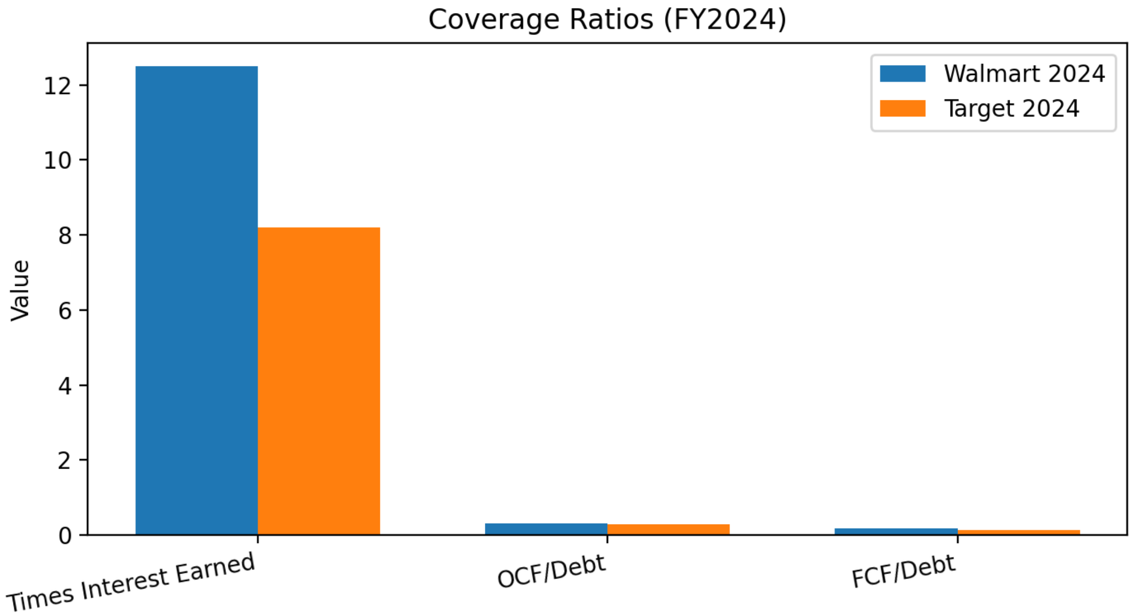

Figure 4: Coverage ratios comparison (FY2024).

Ratio	Walmart 2024	Target 2024
Times Interest Earned	12.5x	8.2x
Operating Cash Flow/Debt	0.32	0.28
Free Cash Flow/Debt	0.18	0.14

Table 4: Coverage ratio assessment (FY2024).

4.4 Liquidity & Solvency Ratios

Current Ratio = Current Assets ÷ Current Liabilities
Quick Ratio = (Cash + Marketable Securities + Receivables) ÷ Current Liabilities
Liabilities-to-Equity = Total Liabilities ÷ Shareholders' Equity
Debt-to-Equity = (Short-term Debt + Long-term Debt) ÷ Shareholders' Equity

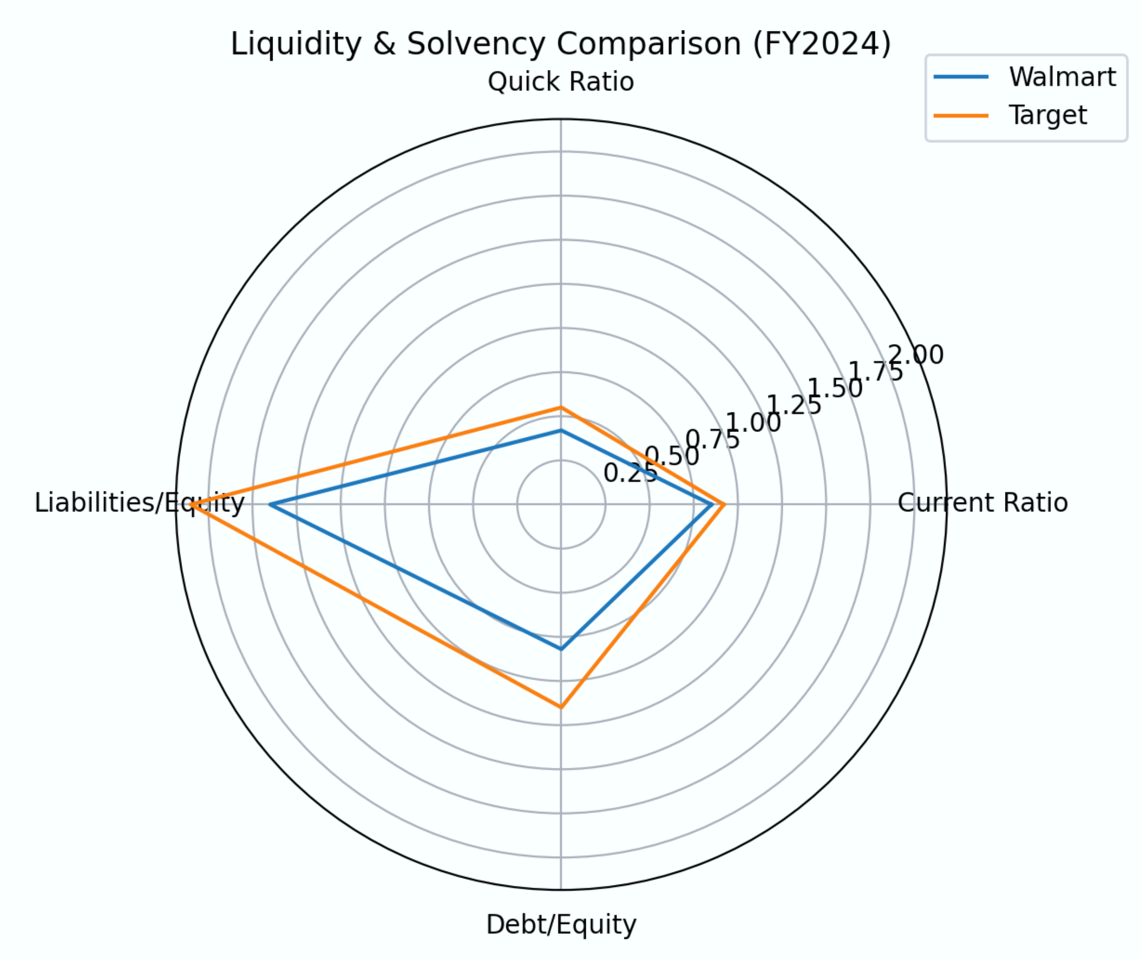

Figure 5: Liquidity and solvency comparison (FY2024) radar chart.

Ratio	Walmart 2024	Target 2024	Assessment
Current Ratio	0.85	0.92	Both below 1.0 (typical for retailers)
Quick Ratio	0.42	0.55	Target has better immediate liquidity
Liabilities/Equity	1.65	2.10	Walmart more conservative
Debt/Equity	0.82	1.15	Target more leveraged

Table 5: Liquidity and solvency analysis (FY2024).

5. DuPont & RNOA Decomposition Analysis

5.1 Traditional DuPont Analysis

Formula: ROE = Net Profit Margin × Asset Turnover × Equity Multiplier

Walmart 2024: Net margin 2.39%; Asset turnover 2.57; Equity multiplier 2.96; ROE ≈ 18.2%.
Target 2024: Net margin 4.07%; Asset turnover 1.94; Equity multiplier 4.12; ROE ≈ 32.5%.

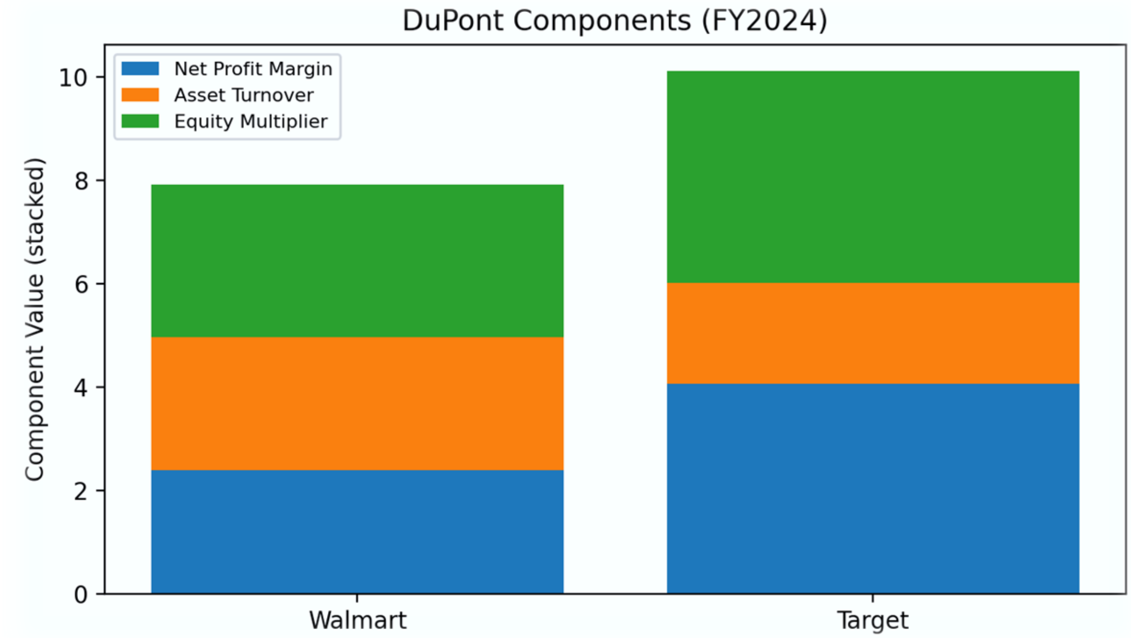

Figure 6: DuPont components comparison (FY2024).

5.2 RNOA Decomposition

Formula: RNOA = NOPM × NOAT
Walmart 2024: NOPAT $15,314M; NOPM 2.36%; NOAT 5.19x; RNOA 12.3%.
Target 2024: NOPAT $4,375M; NOPM 4.07%; NOAT 2.70x; RNOA 11.0%.

6. Comprehensive Financial Assessment

Walmart shows stronger operating efficiency, coverage, and a more conservative capital structure. Target delivers higher margins and dividend yield but carries greater leverage-driven risk.

7. Firm Valuation using DCF Model

DCF approach: FCFF = NOPAT + Depreciation − CapEx − ΔWorking Capital; discount using WACC; add terminal value.

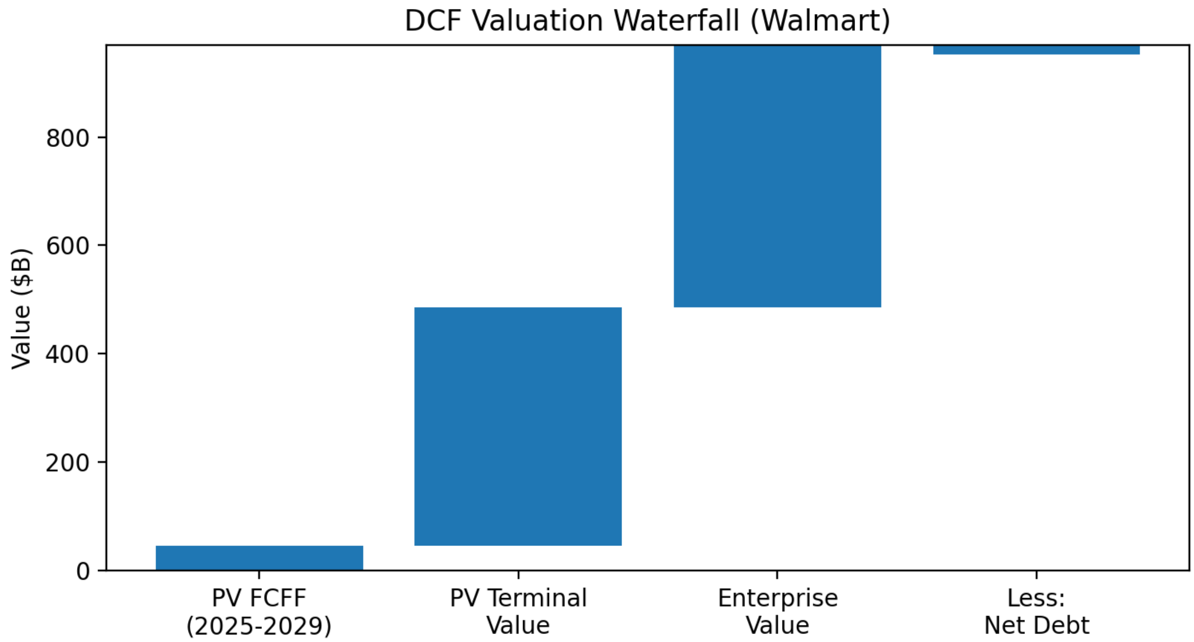

Figure 7: DCF valuation waterfall (Walmart).

7.4 Sensitivity Analysis

WACC / Growth	**2.0%**	**2.5%**	**3.0%**
5.0%	$182	$190	$198
5.5%	$168	$175	$182
6.0%	$156	$162	$168

Table 6: DCF sensitivity matrix (Walmart share price).

8. Stock Recommendation

Walmart (WMT): DCF intrinsic value ≈ $173 vs. current price $175 → HOLD.
Target (TGT): Fair value estimate $148–$152 vs. current price $155 → HOLD.

9. Conclusion

At December 2024 prices, both Walmart and Target appear to be valued, indicating that market prices are broadly aligned with their underlying fundamentals. Walmart offers a stronger risk-adjusted profile due to its operational efficiency, stable cash flows, and lower financial leverage, making it a more defensive investment. In contrast, Target provides higher yields and margins, reflecting greater return potential, but this comes with higher leverage and increased sensitivity to economic conditions. Overall, Walmart is better suited for risk-averse investors, while Target appeals to those willing to accept higher financial risk for potentially higher returns.

10. References

1. Walmart Inc. (2024). Form 10-K for the fiscal year ended January 31, 2024. SEC EDGAR Database.
2. Target Corporation (2024). Form 10-K for the fiscal year ended February 3, 2024. SEC EDGAR Database.
3. SEC EDGAR Database. DEF 14A Proxy Statements for Walmart and Target (2022-2024).
4. Federal Reserve Economic Data. 10-Year Treasury Constant Maturity Rate.
5. Bloomberg Terminal (2024). Retail Industry Comparative Analysis.

11. Appendix

Appendix A: Ratio Calculation Formulas

Profitability Ratios:

- ROE = Net Income ÷ Average Shareholders' Equity
- ROA = Net Income ÷ Average Total Assets
- RNOA = NOPAT ÷ Average Net Operating Assets
  *NOPAT = EBIT × (1 - Tax Rate) *
  NOA = Operating Assets - Operating Liabilities

Efficiency Ratios:

- Accounts Receivable Turnover = Net Credit Sales ÷ Average Accounts Receivable
- Inventory Turnover = COGS ÷ Average Inventory
- Asset Turnover = Net Sales ÷ Average Total Assets

Coverage Ratios:

- Times Interest Earned = EBIT ÷ Interest Expense
- Operating Cash Flow to Debt = CFO ÷ Total Debt
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Liquidity & Solvency Ratios:

- Current Ratio = Current Assets ÷ Current Liabilities
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- Debt-to-Equity = Total Debt ÷ Shareholders' Equity